

BJP retains strong lead in India despite setbacks

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Modi maintains political edge despite youth discontent

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India

Short-term trajectory:

Long-term trajectory:

Modi maintains comfortable political edge despite youth discontent. A reliable poll conducted by C-Voter and India Today indicates that if elections were held in July and August, Prime Minister Narendra Modi's ruling Bharatiya Janata Party (BJP) would win 261 seats in the 543-member lower house, and together with its allies, secure a comfortable majority of 326 seats. The results are notable because there is limited robust domestic polling in India.

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The BJP's popularity has dipped following youth protests in June and July and the inflationary effects of the Iran conflict, but the 261-seat tally projected by the poll is still above the ruling party's current seat count of 240. Meanwhile, the opposition Indian National Congress party has made little progress. The poll projects it would win 106 seats (compared to its current tally of 99), while the broader opposition alliance—weakened by recent defections to the BJP and its allies—would only increase its tally by a single seat to 185.

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The poll indicates a gradual erosion of Modi's personal popularity. His approval rating has fallen to 51%, down from 57% this January and 62% in February 2025. However, the prime minister remains significantly more popular than the leader of the opposition, Rahul Gandhi.

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The government's primary challenges are on the economic front. Unemployment and inflation remain the largest voter concerns, and despite a stable GDP growth rate (7.8% in the second quarter), almost 55% of respondents believe the economy will either remain the same or get worse in the coming months.

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Disaffection among Gen Z, which makes up about 30% of the electorate, will be among the main political challenges for the BJP. Young voters are especially concerned about unemployment and economic opportunities; however, it remains to be seen whether this will translate into support for opposition parties. Upcoming state elections in February and March next year will be a key watchpoint. More worrying for the party, and starting to show up in key by-elections, is the fraying of Modi's electoral coalition of upper-caste and lower-middle-caste voters, which has been the bedrock of his political success.

Border negotiations with China unlikely to meaningfully improve ties. Following a meeting between Indian National Security Advisor Ajit Doval and Chinese Foreign Minister Wang Yi on 25 August, India and China announced an eight-point framework to advance negotiations to resolve their long-standing border dispute. The countries will now hold working group meetings to hammer out the terms of reference. Border discussions are expected to reduce bilateral tensions modestly and slightly lower trade and investment barriers.

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While India and China have resumed direct flights and relaxed visa restrictions as part of their two-year normalization process, India still maintains strict limits on Chinese FDI. Meanwhile, China has expanded export controls and even barred Chinese technicians from traveling to India to hinder the shift of electronics and electric vehicle supply chains from China to India.

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Border negotiations are unlikely to yield much tangible progress. China has pushed for a so-called early-harvest agreement to demarcate a portion of the border where there are fewer disputes. India views this piecemeal approach as inimical to its territorial claims and prefers to resolve the entire boundary in a package agreement.

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Nonetheless, border talks are likely to result in a quieter frontier over the next year. The announcement of two new army-to-army hotlines and two additional meeting points along the border will help lower tensions, but the level of distrust between the two sides will prevent the Indian and Chinese militaries from pulling back to their pre-2020 deployments (see: Underlying distrust will limit impact of India-China border announcement , 28 August 2026).

Strong foreign exchange inflows will support the rupee. The Reserve Bank of India's (RBI's) dollar-rupee swap facility beat expectations to draw \$136.4 billion through 31 August. Inflows have largely come from diaspora deposits, which alone drew \$127.3 billion.

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The central bank had announced the foreign exchange swap facility in June to shore up the rupee. It sought to encourage foreign-currency inflows by absorbing any exchange rate risk (see: Modi's new capital policies likely to stabilize Indian rupee , 10 June 2026). Inflows substantially exceeded initial expectations of \$50-\$70 billion, prompting the RBI to close diaspora deposits at the end of August, a month early.

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The inflows have helped India's foreign reserves reach a record high of \$729.3 billion, giving the central bank ample ammunition to support the rupee, which continues to face pressure from high energy prices. Yet the RBI will also need to take measures to absorb the excess liquidity created by the strong inflows, and there are concerns about the central bank's liabilities if the rupee falls sharply against the dollar.

Pakistan

Short-term trajectory:

Long-term trajectory:

Munir further centralizes power. On 20 August, the parliament passed the Defence Forces Act, centralizing military authority under Field Marshal Asim Munir, and implementing the changes introduced in the 27th Constitutional Amendment, passed last November. Munir has been granted formal operational command over the three military services and now serves as the prime minister's principal military adviser. The act moves Pakistan closer to institutionalized military rule and away from the current informal hybrid system.

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The changes sharply reduce civilian politicians' influence over national security, foreign policy, and internal security decisions. This could provide short-term stability and a more coherent defense policy, but it undermines the country's institutions in the long term.

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The changes come as Munir is riding a wave of popularity created by his role in mediating the Iran conflict and concluding a defense pact with Saudi Arabia and Turkey. Munir is likely to use his expanded authority to push for the reorganization of Pakistan's provincial borders. The government has already proposed creating 15 new provinces. This could yield administrative gains, but could also make it harder to develop a consensus on national policies (see: Munir's centralization of power entrenches military authority in law , 21 August 2026).

Bangladesh

More changes likely after minor cabinet reshuffle. On 21 August, six months into his tenure, Prime Minister Tarique Rahman undertook a minor cabinet reshuffle. Larger changes, particularly to the economic ministries, are expected in the coming weeks.

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The reshuffle indicates that Rahman is taking a more conservative stance—at least one liberal-leaning minister, Information and Broadcasting Minister Zahir Uddin Swapan, has been dropped. This is mainly to ensure that the opposition right-wing Jamaat-e-Islami party cannot capitalize on the economic fallout from the Iran war. Rahman's move is preemptive as the Jamaat-e-Islami does not yet pose a challenge to his government.

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Rahman kept Foreign Minister Khalilur Rahman, even though the latter will assume the presidency of the UN General Assembly on 8 September, which will require him to be based in New York for the next year. The prime minister's foreign policy adviser, Humaiun Kobir, has been made a junior minister and will serve as the de facto foreign minister during this period. The other junior foreign minister, Shama Obaed Islam, has also been retained, creating a three-minister foreign affairs structure. This is expected to produce policy gridlock and freeze reconciliation with India.

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The replacement of the aviation minister paved the way for the state-owned Biman Airlines to purchase 14 Boeing jets for \$3.7 billion, keeping the US-Bangladesh trade deal alive. The US is the country's second-largest market for apparel and textile exports, and its current effective tariff rate of 25.6% is lower than that of key competitors such as China and Vietnam (see: Rahman's reshuffle aims to contain Jamaat , 2 September 2026).

Nepal

Floods pose early challenge for new government. Devastating flash floods along the Nepal-China border on 26 August have left over 1,200 dead, with over 5,000 people still missing. The floods are likely to end the honeymoon period for the inexperienced government of Prime Minister Balendra Shah, who was elected when his Rastriya Swatantra Party secured a landslide victory in March after youth protests ousted the previous government last September (see: New government will focus on anticorruption measures and infrastructure projects , 19 March 2026).

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The government has already faced criticism for initially refusing to allow general search-and-rescue teams from other countries, though it later approved specialized foreign rescue workers. Kathmandu cited coordination difficulties between domestic authorities and foreign rescue teams during the 2015 earthquake as the basis for its decision, but many Nepalis feel the government should accept all the international assistance it can get.

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More broadly, Shah's government has had a mixed start. While it has made some administrative gains, its anticorruption measures and anti-encroachment drive (to remove unauthorized settlements and structures from public land) have been contentious. Shah has also been reclusive, communicating largely via social media and often staying away from parliament and his own party meetings. The prime minister only made his first statement on the floods to parliament on 2 September, a week after they occurred.

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The government estimates the economic damage from floods at around \$5 billion (10% of GDP). This includes damage to hydropower infrastructure, which the country is investing heavily in as a future growth engine. The tourism sector and cross-border trade with China will also be affected. Although Nepal is unlikely to have trouble mobilizing international financial assistance, the floods will probably slow Shah's ambitious reform agenda to overhaul Nepal's institutions and improve the country's business environment, as focus shifts to reconstruction.

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